and Guiding Principles for the Settlement of the India–China Border Issue, which would be the agreed template for seeking an early solution to the border dispute. It included two provisions of great importance to India. One was an agreement that prominent geographical features would be taken into account in defining the border. The second was that the interests of settled populations would also be taken into consideration. For India, the first reflected its position that the watershed principle should be the basis for defining the border. The watershed principle was the basis for the drawing of the McMahon Line at the Simla Convention held in 1914 among the representatives of British India, China and Tibet. The second provision implied that the status of Tawang would be left undisturbed as it had a considerable settled population.

The two countries also concluded a strategic and cooperative partnership, which was important to the Chinese because of the perception that India–US relations were moving ahead of India–China relations.

The global financial and economic crisis had a major impact on the further development of India–China relations. Just as the asymmetry between the US and China began to shrink in the aftermath of the crisis, the asymmetry between India and China, which had been shrinking earlier, began to expand once again. India's GDP growth decelerated and has averaged about 6–7 per cent per annum since then. China has maintained the same rate of growth as India, but on a much larger base than India's. This asymmetry of power began to be reflected in China showing less sensitivity to India's interests, its steady economic and political penetration of countries in India's periphery and a lower threshold of tolerance to closer relations between India and the US. In conversations at non-official meetings, Chinese scholars would often draw attention to the fact that China's economy was five times the size of India's and this could not but reflect in the nature of India–China relations. The implication of such a statement was that India should accept its diminished ranking in the Chinese perception and defer to Chinese interests.

Stepping out of line – a line drawn by China – would invite punitive reactions, and that too is evident in the more recent Chinese moves against